Question #1 of 27

Question ID: 1675667

Carol Hull, CFA, is an investment advisor whose prospective client, Frank Peters, presents special requirements. To construct an investment policy statement for Peters, Hull inquires about Peters's investment experience, risk and return objectives, and financial constraints. Peters states that he has a great deal of investment experience in the capital markets and does not wish to answer questions about his tolerance for risk or his other holdings. Under Standard III(C): Suitability, Hull:

A) is permitted to manage Peters's account without any knowledge of his risk preferences. ✓

B) may accept Peters's account, but may only manage his portfolio to a benchmark or index. ✗

C) must decline to enter into an advisory relationship with Peters. ✗

Explanation

Hull would not violate Standard III(C): Suitability by managing Peters's account without knowledge of his risk preferences. She made a reasonable inquiry into Peters' investment experience, risk and return objectives, and financial constraints, as the Standard requires. If a client chooses not to provide some of this information, the member or candidate can only be responsible for assessing the suitability of investments based on the information the client does provide.

(Module 20.5, LOS 20: III(C))

Question #2 of 27

Question ID: 1675689

While servicing his clients' accounts, an analyst who is a CFA charterholder determines that one client is probably involved in illegal activities. According to Standard III(E): Preservation of Confidentiality, the analyst may not do which of the following?

A) Contact CFA Institute about the determination. ✗

B) Contact the appropriate government authorities about the determination. ✗

C) There are no exceptions in this list. ✓

Explanation

Standard III(E) allows an analyst to reveal information about a client to CFA Institute because CFA Institute will keep the information confidential. If the analyst is reasonably certain a law has been violated, an analyst may have an obligation to report the activities to the appropriate authorities. Therefore, neither of the listed actions are exceptions from the analyst's options.

(Module 20.5, LOS 20: III(E))

Question #3 of 27

Question ID: 1675685

Standard III(E): Preservation of Confidentiality applies to the information that an analyst learns from:

A) current clients and former clients only. ✗

B) current clients and prospects only. ✗

C) current clients, former clients, and prospects. ✓

Explanation

According to Standard III(E): Preservation of Confidentiality, an analyst must preserve the confidentiality of information communicated by clients, former clients, and prospects.

(Module 20.5, LOS 20: III(E))

Question #4 of 27

Question ID: 1675683

Nancy Korthauer, CFA, has launched a new hedge fund called the Korthauer Tautology Fund and is actively soliciting clients from competitors' firms. Client presentations are necessarily brief and often take place with the prospective client's current investment advisor in the room. The Code and Standards require that:

A) the member or candidate provide (on request) additional detail information that supports the abbreviated presentation. ✓

B) all client presentations provide a thorough review of all elements of the investment management process. Abbreviated presentations are forbidden. ✗

C) a prospective client's current investment advisor not participate in meetings. ✗

Explanation

See Standard III(D). When presentations are brief, additional detail that supports the abbreviated presentation information must be provided on request. Best practice dictates that the member or candidate should make reference to the abbreviated nature of the presentation.

(Module 20.5, LOS 20: III(D))

Question #5 of 27

Question ID: 1675668

Bob Hatfield, CFA, has his own money management firm with two clients. The accounts of the two clients are equal in value. One of the clients gets married, and the assets of the new spouse and the client are combined. With the larger portfolio of the now-married client, Hatfield determines that they can assume a higher level of risk and begins a change in the policy concerning that portfolio. Which of the following would violate Standard III(C): Suitability?

A) Assess the return objectives of the newly married client and his spouse. ✗

B) Implement a similar policy for the other client who did not just get married. ✓

C) Assess the time horizon of the newly married client and his spouse. ✗

Explanation

According to Standard III(C): Suitability, the analyst must assess the time horizon, return objectives, tax considerations, and liquidity needs of a client before changing an investment policy. The analyst must notify the client of the new policy. Implementing the policy for the other client may be a violation of the Standard unless that client's needs are totally reassessed and determined to be identical to the needs of the newly married client.

(Module 20.5, LOS 20: III(C))

Question #6 of 27

Question ID: 1675682

A money manager is meeting with a prospect. She gives the client a list of stocks and says, "These are the winners I picked this past year for my clients. Their double-digit returns indicate the type of returns I can earn for you." The list includes stocks that the manager had picked for her clients, and each stock has listed with it an accurately measured return that exceeds 10%. Is this a violation of Standard III(D): Performance Presentation?

A) No, because the manager had the historical information in writing. ✗

B) Yes, because the manager cannot reveal historical returns of recent stock picks. ✗

C) Yes, unless the positions listed constitute a complete presentation (i.e., there were no stocks omitted that did not perform in the double digits).

Explanation

Standard III(D) requires fair representations concerning past and potential future performance. Unless the list of the "winners" includes all the positions that the firm held, the manager is misrepresenting past performance. The following statement is questionable: "Their double-digit returns indicate the type of returns I can earn for you"—but the action of submitting a partial list is clearly a violation. The manager should have information on past performance in writing.

(Module 20.5, LOS 20: III(D))

Question #7 of 27

Question ID: 1675670

Kim Lee manages various accounts at Superior Investments. Some are permitted to invest in tax-exempt issues only; others may not invest in a stock unless it pays dividends. Lee is researching a biotech firm specializing in the analysis of mad cow disease. While touring company facilities and meeting with management, she learns that they believe they may have found a way to reverse the disease. Moreover, one manager conjectured, "Suppose that we reversed the disease in someone who didn't even have it? We might then be able to boost that individual's IQ into the stratosphere!" Lee returns to her office and buys shares for all accounts under her supervision. This action is:

A) appropriate given the obvious potential of the therapy.

B) a violation of the Standard concerning fiduciary duties.

C) a violation of the Standard concerning appropriateness and suitability of investment actions.

Explanation

Given the various accounts under her supervision, it is not likely the shares of a speculative biotech firm would be suitable for all accounts. Placing such shares in all accounts indicates that she has failed to consider the appropriateness and suitability of the investment for each account, and this places her in violation of Standard III(C).

(Module 20.5, LOS 20: III(C))

Question #8 - 9 of 27

Question ID: 1675663

In this situation, all of the following would be components of an effective compliance process except:

A) educating clients in the basics of investment characteristics.

B) diversifying portfolios where appropriate.

C) using margin accounts.

Explanation

Using margin accounts would be inappropriate in this situation because it would increase the risk of loss and require clients to pay interest on the margin loan, adding to the cost to maintain the account. Trading on margin is inappropriate for unsophisticated, inexperienced individual investors with limited means.

(Module 20.5, LOS 20: III(C))

Question #9 - 9 of 27

Question ID: 1675664

In this situation, which of the following would not be a component of an effective compliance process?

A) Examine risk tolerance carefully; risk tolerance is an important element in determining an appropriate investment policy statement.

B) Educate clients on how to select investments; this can help clients accomplish their investment policy statement goals.

C) Use concentrated portfolios consisting of only a few assets; this approach reduces trading costs.

Explanation

In this case, the broker increased the risk of loss for the clients beyond that consistent with the client objectives by concentrating much of their equity in particular securities. A component of an effective compliance process would be to develop diversified portfolios to reduce portfolio risk.

(Module 20.5, LOS 20: III(C))

Question #10 of 27

Question ID: 1675681

A money management firm has created a new junk bond fund. When the firm advertised the new fund at its issuance, they used care to accurately compute the returns from the past 10 years for all assets in the fund. The firm used the current portfolio weights to determine an average annual historical return equal to 18% and claim an 18% annual historical return in their advertising literature. With respect to Standard III(D): Performance Presentation, this is:

A) in compliance.

B) a violation because the advertisement implies the firm generated this return.

C) a violation because the Standard prohibits computing historical returns on risky assets like junk bonds.

Explanation

Reporting the historical returns of all assets now in the fund introduces a survivorship bias. Also, the advertisement is misleading because the fund just came into existence and has no historical record. Thus, the firm has misled the public as to their performance history.

(Module 20.5, LOS 20: III(D))

Question #11 of 27

Question ID: 1675686

Greg Stiles, CFA, CAIA, is liquidating a large portion of a client's portfolio because the client is planning to buy a vacation home. Stiles informs one of his colleagues at the firm that the client is looking for a vacation home, because the colleague's wife is a licensed real estate broker. With respect to Standard III(E): Preservation of Confidentiality, this action:

A) does not violate the Standards because he did not share the information outside the firm.

B) violates the Standard unless the client has given explicit permission to disclose his plans.

C) does not violate the Standards because he did not disclose any details about the client's portfolio or other financial resources.

Explanation

According to Standard III(E): Preservation of Confidentiality, Stiles must keep client information confidential and limit the information to others in his firm who are involved in the work being performed for the client. The confidentiality standard applies to any information that a member has learned in the performance of his duties for the client.

(Module 20.5, LOS 20: III(E))

Question #12 of 27

Question ID: 1675687

Greg Stiles, CFA, keeps a list of his clients' birthdays and has personally sent them a birthday card each year at the appropriate time. With respect to this action, which of the following may be a violation of Standard III(E): Preservation of Confidentiality?

A) Sending a gift along with the card. ✗

B) Hiring a company outside the firm to perform the task. ✓

C) The mere act of sending a birthday card each year. ✗

Explanation

According to Standard III(E), an analyst should limit the number of persons who have access to clients' personal information. Allowing a company outside the firm to send birthday cards could be a violation. Sending a birthday card is not a violation, nor is sending a gift of reasonable value.

(Module 20.5, LOS 20: III(E))

Question #13 of 27

Question ID: 1675688

Greg Stiles, CFA, may withhold from CFA Institute information about a client acquired in the regular performance of his duties:

A) only if Stiles has a special confidentiality agreement with the client. ✗

B) only if Stiles is a relative of the client. ✗

C) for neither of the reasons listed. ✓

Explanation

According to Standard III(E): Preservation of Confidentiality, Stiles may not withhold information under any of the listed reasons. The reason is that CFA Institute will keep the information confidential.

(Module 20.5, LOS 20: III(E))

Question #14 - 19 of 27

Question ID: 1675673

Do QED's policies comply with CFA Institute Standards of Professional Conduct with respect to the information contained within the client investment policy statements and the frequency with which the information is updated?

	Information	Frequency	
A)	Yes	No	✓
B)	No	No	✗
C)	No	Yes	✗

Explanation

According to Standard III(C) Suitability, members and candidates must consider investment experience, objectives (risk and return), and constraints before investing funds on the client's behalf or recommending investments to the client. The firm has complied with the information content. The investment policy statement must be updated at least annually, or after significant changes in client circumstances, however, according to the guidance statement accompanying Standard III(C). Thus the firm has not complied with Standard III(C) in this regard.

(Module 20.5, LOS 20: III(C))

Question #15 - 19 of 27

Question ID: 1675674

In light of Singh's comments during his telephone call to Patel prior to his uncle's death, which of the following actions that Patel can take comply with CFA Institute Standards of Professional Conduct?

A) Patel may change the current portfolio strategy and begin trading based upon Singh's expectations because he advised her to do so. ✗

B) Patel must not place any trades in the account until she meets with Singh to develop a new portfolio strategy based on the updated information. ✗

C) Patel must adhere to the existing portfolio strategy until she meets with Singh to develop a new portfolio strategy based upon updated financial information but may place trades which are consistent with the existing strategy. ✓

Explanation

According to Standard III(C) Suitability, Patel must observe the written investment objectives now in effect as determined in cooperation with the client and may trade only on that basis. Because the anticipated change in Singh's financial condition was subject to an event of indeterminable timing, she should continue to honor the existing written investment objectives until a change (1) is warranted by an actual increase in the client's total financial assets and (2) has been agreed upon with her client.

(Module 20.5, LOS 20: III(C))

Question #16 - 19 of 27

Question ID: 1675675

According to CFA Institute Standards of Professional Conduct, may Patel reallocate Singh's portfolio toward technology stocks after his Uncle dies but before the meeting with Singh?

A) No, because Patel and Singh must meet and revise the investment policy statement and portfolio strategy before reallocating. ✓

B) Yes, because the total value of the municipal bonds received into the account will be too large relative to the other assets in the portfolio. ✗

C) No, because Patel must wait until the next annual meeting to reallocate. ✗

Explanation

According to Standard III(C) Suitability, investment recommendations and actions must be consistent with a client's written objectives and constraints (usually in the form of an investment policy statement (IPS)). Because Singh's written IPS would not allow the large allocation to technology stocks prior to receiving the inheritance, the IPS must be updated by Singh and Patel prior to taking any actions that deviate from the original IPS. Patel will violate Standard III(C) by reallocating the portfolio before meeting with Singh.

(Module 20.5, LOS 20: III(C))

Question #17 - 19 of 27

Question ID: 1675676

Did Patel violate any CFA Institute Standards of Professional Conduct when she purchased the NetWin stock for Singh's portfolio or for the other clients' portfolios?

	Singh's portfolio	Other portfolios	
A)	Yes	Yes	✓
B)	No	No	✗

C) No Yes

Explanation

According to Standard III(C) Suitability, Patel must analyze the appropriateness and suitability of NetWin.com stock on a case-by-case basis before buying it. This will necessarily consider the basic characteristics of the security and how these will affect overall portfolio characteristics relative to the existing investment strategy for each portfolio. Patel has not analyzed the effect that the stock will have on any of the individual portfolios in question and has thus violated the Standard. Patel cannot look at aggregate measures to determine the appropriate weight that the security should represent in the individual portfolios because the portfolios are being managed individually, not in aggregate.

(Module 20.5, LOS 20: III(C))

Question #18 - 19 of 27

Question ID: 1675677

Which of the following is *least accurate* regarding the promotional announcement of Patel passing the Level III exam?

A) The announcement violates the Code of Ethics because it implies that obtaining a CFA charter leads to superior performance.

B) The fact that a promotional announcement was made violates the restrictions on misrepresenting the meaning of the CFA designation.

C) The promotional announcement uses the letters “CFA” as a noun which is prohibited by CFA Institute.

Explanation

An announcement that a member of a firm has received the right to use the CFA® designation is not a violation of the Code or Standards. However, Standard VII(B) requires that any reference to the Charter must not misrepresent or exaggerate the meaning or implications of the CFA designation. A Charterholder cannot claim that holding a Charter leads to superior performance results. Using the letters "CFA" as a noun, as in "he is a CFA" is prohibited by CFA Institute. Finally, passing all three exams does not give one the right to use the designation. All criteria must be met (e.g., experience requirements) before Patel can use the designation.

(Module 20.5, LOS 20: III(C))

Question #19 - 19 of 27

Question ID: 1675678

With respect to the choice of broker, did Patel violate any CFA Institute Standards of Professional Conduct?

A) No. ✓

B) Yes, since Patel failed to properly notify Singh that using TradeRight would lead to higher commissions and opportunity costs. ✗

C) Yes, since Patel is obligated to seek the best possible price and execution for all clients. ✗

Explanation

Since Singh directed Patel to use TradeRight, this should be considered client-directed brokerage. While Patel should inform Singh of the implications of that choice, Patel has no option but to follow the client's direction according to Standard III(A) Loyalty, Prudence, and Care. Singh was fully aware of the fees charged by TradeRight relative to other brokerage firms and elected to use TradeRight anyway. Investment managers are obligated to seek the best price and execution in the absence of client direction.

(Module 20.5, LOS 20: III(C))

Question #20 of 27

Question ID: 1675669

An analyst thinks that a major change in the tax law will benefit holders of utility company stocks. She immediately begins calling all her clients and telling them of the upside potential of investing in such assets now. Based upon this information, this is *most likely*:

A) a violation of Standard III(C): Suitability. ✓

B) a violation of Standard V(A): Diligence and Reasonable Basis. ✗

C) congruent with Standard V(A): Diligence and Reasonable Basis. ✗

Explanation

According to Standard III(C), the analyst needs to determine the suitability of an investment for each client. It is doubtful that all her clients are identical in their needs. According to the information, the analyst mentions the upside potential, but does not mention the downside risk. Although the information says that she thinks that the change in the tax law will benefit holders of utility company stocks and says nothing of how she arrived at this conclusion, we do not know if she has or has not made her decision on a reasonable basis.

(Module 20.5, LOS 20: III(C))

Question #21 of 27

Question ID: 1675684

While servicing his clients' accounts, an analyst who is a CFA charterholder determines that one client is probably involved in illegal activities. According to Standard III(E): Preservation of Confidentiality, the analyst may not do which of the following?

A) Contact both CFA Institute and government authorities. ✗

B) There are no exceptions in this list. ✓

C) Contact CFA Institute about the determination. ✗

Explanation

Standard III(E) allows an analyst to reveal information about a client to CFA Institute because CFA Institute will keep the information confidential. If the analyst is reasonably certain a law has been violated, an analyst may have an obligation to report the activities to the appropriate authorities. Therefore, none of the listed actions are exceptions from the analyst's options.

(Module 20.5, LOS 20: III(E))

Question #22 of 27

Question ID: 1675680

While it would be customary to report both 5-year and 10-year performance data, Seminole Equity Partners has been in existence for only eight years. Because of this, Kurt Dambach does not report 10-year data, but he reports for both five years and since the inception of the fund. He notes this in a footnote at the bottom of the information sheet. This action is:

A) a violation of the Standard concerning performance presentation. ✗

B) a violation of the Standard concerning prohibition against misrepresentation. ✗

C) in accordance with the Code and Standards because he has indicated the basis in a footnote. ✓

Explanation

Members who communicate performance information must ensure that the information is fair, accurate, and complete. Seminole Equity Partners' presentation meets this standard.

(Module 20.5, LOS 20: III(D))

Question #23 of 27

Question ID: 1675665

Stephen Rangen, a broker, has three accounts consisting of unsophisticated, inexperienced individual investors with limited means. One of these accounts is an elderly couple. The clients want to invest in safe, income-producing investments. They rely heavily on Rangen's advice and expect him to initiate most transactions in their respective accounts. In managing their accounts, Rangen pursues the following strategies: (1) he buys U.S. Treasury STRIPS and non-dividend-paying over-the-counter (OTC) stocks recommended by his firm's research department, (2) uses margin accounts, and (3) concentrates the equity portion of their portfolio in one or two stocks. Rangen's approach leads to extremely high turnover rates in all three accounts.

Which of the following statements about Rangen's conduct is *most accurate*? Rangen's conduct:

A) meets the requirements of the Code and Standards because his clients are aware of the risks that he is taking in managing their accounts. ✗

B) meets the requirements of the Code and Standards because his firm's research department recommended the U.S. Treasury STRIPS and non-dividend-paying stocks. ✗

C) does not meet the requirements of the Code and Standards because his investment strategy is inconsistent with his clients' objectives. ✓

Explanation

Rangen's actions are inconsistent with Standard III(C): Suitability because his investment actions are neither appropriate nor suitable for each client. Even if his clients were aware of the risks, the portfolios that he constructed are inconsistent with their financial needs. Although Rangen relies upon recommendations from his firm's research department, he cannot shift blame to his employer because he must follow recommendations that are in the best interests of his clients.

(Module 20.5, LOS 20: III(C))

Question #24 of 27

Question ID: 1675671

According to Standard III(C): Suitability, which of the following is *least likely* to be considered a relevant factor in determining the appropriateness and suitability of investment recommendations or actions for each portfolio or client?

A) Basic characteristics of the total portfolio. ✗

B) Best interests of the investment professional. ✓

C) Needs and circumstances of the portfolio or client. ✗

Explanation

Determining appropriateness and suitability focuses on the portfolio or client, not on the investment professional. Investment professionals should take particular care to ensure that their goals in selling products or executing security transactions do not conflict with the best interests of the client.

(Module 20.5, LOS 20: III(C))

Question #25 of 27

Question ID: 1675679

Lance Tuipulotu, CFA, manages investments for 400 individuals and families and often finds his resources stretched. When his largest investors petition him to include a 5%–7% allocation of non-investment-grade bonds in their portfolios, he decides he needs additional help to meet the request. He considers various independent advisors to use as submanagers, but he determines that the most qualified advisors would be too expensive. Reasoning that a lower-cost provider would enable him to pass the savings along to his clients, he chooses that provider to invest the new bond allocation. Tuipulotu has violated:

A) Standard III(C): Suitability by failing to consider the appropriateness of the non-investment-grade bonds. ✗

B) both Standard III(C): Suitability and Standard V(A): Diligence and Reasonable Basis. ✓

C) Standard V(A): Diligence and Reasonable Basis by letting fee structure determine the selection of the submanager. ✗

Explanation

Both Standard III(C): Suitability and Standard V(A): Diligence and Reasonable Basis were violated. Tuipulotu must perform a full IPS review to determine the appropriateness of the new portfolio allocations. Submanagers should not be selected by cost structure alone, as the quality and appropriateness of the submanager is Tuipulotu's responsibility.

(Module 20.5, LOS 20: III(C))

Question #26 of 27

Question ID: 1675666

The O'Douls (husband and wife) have decided to work with Jane Mack, CFA, to have her recommend an investment portfolio for them. The O'Douls are novice investors, and Mack has determined that their asset allocation model falls into the conservative category. After researching various investment options for the O'Douls, Mack has made a recommendation that they divide their account on a 25%/75% basis between shares of a computer peripherals manufacturing company that her brokerage firm is underwriting and investment-grade corporate bonds. The O'Douls are not aware that Mack's firm is underwriting an offering of the company in question. Which CFA Institute Standard(s) has Mack violated, given her actions?

A) Standard VI(A): Disclosure of Conflicts and III(C): Suitability. ✓

B) Standard III(B): Fair Dealing and III(A): Loyalty, Prudence, and Care. ✗

C) Standard V(A): Diligence and Reasonable Basis and I(D): Misconduct. ✗

Explanation

Mack is obliged to disclose the conflict of interest regarding her company's IPO and to consider both the appropriateness and the suitability of the investment for her client. She has apparently failed in both respects.

(Module 20.5, LOS 20: III(C))

Question #27 of 27

Question ID: 1675690

A candidate or member is *least likely* violating the Standard regarding the confidentiality of client information if he shares confidential client information, when not required by law, with the:

A) co-owner of the client's account. ✗

B) CFA Institute Professional Conduct Program. ✓

C) client's attorney. ✗

Explanation

Standard III(E): Preservation of Confidentiality states that sharing information with the Professional Conduct Program when requested as part of an investigation is not a violation unless it is prohibited by law. Disclosure to those outside the firm in other cases is a violation unless the client has given specific permission or disclosure is required by law.

(Module 20.5, LOS 20: III(E))